

Business Data Management (Part 2)

Understanding Business Basics

1. Customer vs Consumer

Customer	Consumer
Pays for the product/service	Uses/consumes the product/service
Can be the same person as consumer	May not be the customer

Example:

You buy a coffee for your brother → **You = Customer**,
Brother = Consumer

Remember:

Customer can be a consumer, but a consumer need not be a customer.

2. Marketing vs Sales

Marketing

Goal → Create awareness

- Promotions
- Advertisements
- Creates awareness about the product/service
- Generally involves **cash outflow**

Sales

Goal → Generate revenue

- Seller sells an offering to buyer/customer
- Creates **cash inflow**

- Main objective → **Sell profitably**

Easy memory

Marketing → Awareness →

Cash Outflow

Sales → Transaction → Cash Inflow

3. Marketing Frameworks

4 Ps

1. **Product**
2. **Price**
3. **Promotion**
4. **Place**

5 Cs

1. **Customer**
2. **Company**
3. **Competitor**
4. **Collaborator**
5. **Context**

STP

S → Segmentation

T → Targeting

P → Positioning

4. Segmentation → Targeting → Positioning

Segmentation

Divide customers into **groups with similar needs/wants**.

Example: College food survey

Food preference Students

North Indian	25%
South Indian	35%

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Food preference Students

Chinese	20%
Continental	20%

Targeting

Choose the segment to focus on.

→ **South Indian = 35%** → **Target**

Positioning

Create a specific image/message in the customer's mind.

Example:

"Good quality + nutritious South Indian food at a reasonable price."

Remember

Segmentation = Divide

↓

Targeting = Choose

↓

Positioning = Communicate

5. Selling

Selling requires at least **2 parties**:

Seller → Buyer

Seller

- Products → Seller/Supplier
- Services → Service Provider

Buyer

- Products → Customer
- Services → Client

The seller provides **offerings** to the buyer.

Offerings can be:

- Products
- Services
- Products + Services

6. Profit, No Profit-No Loss & Loss

Cost Price (CP)

Cost incurred to make/buy the product.

Selling Price (SP)

Price at which the product is sold.

Three situations

Condition	Result
SP > CP	✓ Profit
SP = CP	⚖ No Profit, No Loss
SP < CP	✗ Loss

Example

CP = ₹10

- SP = ₹25 → **₹15 Profit**
- SP = ₹10 → **No Profit/No Loss**
- SP = ₹8 → **₹2 Loss**

7. Why Sell at a Loss?

Sometimes selling at a loss is better than **not selling at all**.

Example:

Inventory cost = ₹10

Don't sell

Loss = ₹10

Sell for ₹5

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Loss = ₹5

So selling for ₹5 **minimizes the loss.**

This can happen when:

- Product is becoming obsolete
- New technology/product is arriving
- Competition is high
- Inventory needs to be cleared

8. B2C vs B2B

B2C	B2B
Business → Consumer	Business → Business
Individual customer	Organization/businesses
Example: Retail store → Customer	Example: Manufacturer → Retailer

B2C: Business sells to final consumers.

B2B: One business sells to another business.

B2C vs B2B and Products vs Services

1. B2C and B2B

B2C — Business to Consumer

A B2C transaction occurs when a **business sells a product or service directly to an individual consumer.**

Example:

Amazon → Individual customer

Amazon is the business, while the individual is the consumer.

B2B — Business to Business

A B2B transaction occurs when **one business sells a product or service to another business or organization.**

Example:

Supplier → Amazon

Both parties are businesses, so the transaction is B2B.

Another example:

Wholesaler → Retailer

Both the wholesaler and retailer are businesses.

2. Seller and Buyer

The two basic entities required for a sale are:

Seller

Also called:

- Supplier
- Service provider (for services)

Buyer

Also called:

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- Customer
- Client (for services)

3. Offerings

A business's offerings can consist of:

Products + Services

4. Product

A **product** is generally tangible and has physical form.

Examples:

- Pen
- Phone
- Laptop
- Car

A physical product can generally be touched, seen, felt, and stored.

5. Service

A **service** is intangible. It does not involve ownership of a physical element in the same way a product does.

A service is an **act performed by one entity for another entity**.

Examples:

- Education
- Consultancy
- Banking
- Financial services
- Logistics
- Transportation

For example, purchasing a flight ticket gives you the right to use the transportation service during the specified journey, but you do not own the aircraft or the transportation service itself.

6. Characteristics of Services — IHIP

Services have four important characteristics:

I — Intangibility

H — Heterogeneity

I — Inseparability

P — Perishability

I — Intangibility

Services cannot be physically touched, seen, smelled, or felt like physical products.

Example

A pen is tangible because it can be physically handled.

Education, consultancy, and transportation are intangible because the service itself has no physical form.

Effect

Because services are intangible, customers may find them more difficult to evaluate before purchasing.

This can increase:

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Customer perceived risk

Customers may have doubts about:

- Quality
- Price
- Expected experience
- Value received

H — Heterogeneity

Services can vary from one experience to another.

In other words:

Two instances of the same service may not provide exactly the same experience.

Example

You may have an excellent experience on one flight, but your next flight may provide a different experience.

Similarly, your experience at a restaurant may differ between two visits.

Therefore, services tend to be **heterogeneous**.

Products are generally more consistent or homogeneous because manufactured products can be produced according to standardized specifications.

I — Inseparability

Inseparability means that **production and consumption of a service can occur simultaneously.**

Example: Education

A teacher provides the teaching while the student consumes the educational service.

Example: Vehicle servicing

The vehicle needs to be present while the service is being performed.

Example: Dental treatment

The customer needs to be present while the treatment is being provided.

Therefore:

Service production and consumption can occur at the same time.

P — Perishability

Services cannot generally be stored or inventoried for future consumption in the same way physical products can.

Example

If a person misses a particular flight, the unused opportunity to consume that flight service cannot simply be stored and used later as the same service.

Therefore:

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Services are perishable.

Products, on the other hand, can generally be stored in inventory.

7. Types of Services

Services can be broadly categorized into:

1. Pure Services

The primary offering is a service.

Examples:

- Education
- Consultancy
- Banking
- Financial services
- Logistics
- Transportation

2. Add-on Services

A service is provided along with a physical product.

Examples:

Laptop + Service package
Phone + Service package

Here, the main offering is the product, while the service is provided as an additional component.

8. Why Services Are Important

Services are important for three major reasons.

1. Contribution to GDP

The service sector contributes significantly to the GDP of an economy.

The material gives approximate figures of:

- Developed economies → around **80%**
- India → approximately **60%**

2. Employment Generation

The service sector generates a significant amount of employment.

Industries such as:

- Banking
- Education
- Transportation
- Consulting
- IT
- Finance

create employment opportunities.

3. Competitive Advantage

- Services can provide a company with a **competitive advantage**.
- Competitive advantage means having an **edge over competitors**.
- Companies can differentiate themselves not only through their products but also

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through the services they provide.

9. Services and Recurring Revenue

Services can generate:

Recurring Revenue

Recurring revenue means revenue that is repeatedly generated from the same customer over time.

Example

A subscription service:

Month 1 → Payment

Month 2 → Payment

Month 3 → Payment

Month 4 → Payment

Netflix-style subscription models are examples of recurring revenue.

10. Products vs Services

Feature	Product	Service
Nature	Tangible	Intangible
Physical form	Yes	No
Evaluation	Generally easier	Generally more difficult
Consistency	More homogeneous	Heterogeneous
Production &	Generally separable	Can be simultaneous

Feature	Product	Service
consumption		us
Storage	Can generally be stored	Cannot be inventoried in the same way
Ownership	Physical ownership possible	No ownership of the service itself

11. B2C vs B2B

1. End Customer

B2C

The end customer is an **individual**.

Business →
Individual

B2B

The end customer is a **business or organization**.

Business → Business

Easy way to identify

Ask:

Who is the end customer?

Individual → **B2C**

Business → **B2B**

12. Number of Customers

B2C

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There are generally **many customers**.

Example:

A retail store can have thousands of customers.

B2B

There are generally **fewer customers**.

For example, an aircraft manufacturer may have a relatively small number of airline customers compared with a consumer retail business.

13. Geographic Concentration

B2C

Customers are generally spread across many geographical locations.

B2B

Customers are generally fewer and can be **geographically concentrated**.

14. Supply Chain

B2C

The supply chain is generally longer.

A typical structure is:

Manufacturer



Distributor



Wholesaler



Retailer



Consumer

A large number of individual consumers often requires more distribution stages.

B2B

The supply chain is generally shorter.

For example:

Business → Business

or:

Business →

Distributor →

Business

B2B transactions often involve more direct selling.

15. Purchase Duration

B2C

Purchase decisions are generally made relatively quickly.

Examples:

- Clothes
- Shoes
- Laptop

A consumer may make the decision within minutes, hours, or a few days.

B2B

Purchase decisions generally take much longer.

They can take:

3 months to 1 year

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This is because organizations may need to:

- Evaluate alternatives
- Compare suppliers
- Discuss internally
- Analyze requirements
- Obtain approvals
- Negotiate terms

16. Purchase Value

B2C

Purchase value is generally lower.

Examples:

Shirt → ₹2,000

Shoes → ₹4,000

However, some B2C purchases such as cars and houses can have very high values.

B2B

Purchase values can be extremely high, potentially reaching:

Millions to billions

Because of the high value involved, organizations usually spend more time evaluating alternatives.

Purchase Value vs Purchase Volume

Purchase volume should not be used as the primary basis for comparing B2C and B2B.

For example:

Buying 1 airplane has a purchase volume of only 1, but its purchase value can be extremely high.

Therefore:

Low purchase volume does not necessarily mean low purchase value.

17. Relationship Type

B2C

Relationships are generally:

Transactional

Consumers may switch between brands.

For example, a consumer might purchase clothing from different brands instead of continuously buying from one company.

B2B

Relationships are generally:

Long-term and collaborative

Businesses may work with the same supplier for many years. The relationship can become highly integrated, with both organizations working closely together.

18. Price Elasticity

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Price elasticity describes how demand responds to a change in price.

B2C

B2C customers are generally more price-sensitive.

Example:

If the price of a product increases significantly, consumers may reduce their demand or switch to alternatives.

B2B

B2B demand can be relatively less price-sensitive because the purchase may be necessary for business operations.

However:

B2B customers are not completely insensitive to price.

Businesses also attempt to control costs and may change suppliers when price differences become significant.

19. Advertising and Promotions

B2C

Advertising and promotions play a major role.

Examples:

- Discounts
- Buy 1 Get 1
- Credit card offers
- Promotional offers

These can create a **stimulus** that encourages consumers to purchase.

Impulse Buying

Impulse buying occurs when a customer makes an unplanned purchase because of a stimulus such as:

- Discount
- Attractive offer
- Advertisement
- Limited-time promotion

This is more commonly associated with B2C.

B2B

Advertising and promotions generally have less influence compared with B2C.

B2B purchasing typically involves more evaluation and organizational decision-making.

20. Agreements and Contracts

B2C

Formal agreements and contracts are generally less extensive.

B2B

Agreements and contracts are more important because:

- Purchase values are high
- Relationships are long-term

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- Multiple parties are involved
- Failure can have significant consequences

Therefore:

B2B → Greater importance of contracts and agreements

21. Decision Maker

B2C

The decision is generally made by an **individual consumer**.

However, other people can influence the decision.

Examples:

- Friends
- Parents
- Family

B2B

A major B2B purchase is generally not decided by one person.

Instead, multiple people participate in the decision.

This group is called the:

Decision Making Unit (DMU)

It is also known as:

Buying Center

or

Buying and Usage Center

22. Decision Making Unit — DMU

A DMU may contain people from different departments, such as:

- Finance
- Quality
- HR
- Operations
- Engineering

A typical B2B buying center can involve approximately:

5–15 people

Different members can have different responsibilities and influence over the final decision.

23. Jilting Impact

Jilting impact refers to the impact or shock experienced by a seller when a customer **changes or cancels a decision after advanced negotiations**.

B2C — Lower Jilting Impact

Suppose you enter a shoe store. You:

1. Try a pair of shoes
2. Show interest
3. Decide not to purchase

The seller is usually not severely affected because many other customers may purchase the same product.

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Therefore:

B2C → Lower jilting impact

B2B — Higher Jilting Impact

Suppose two businesses:

1. Negotiate for several months
2. Discuss requirements
3. Compare specifications
4. Discuss pricing
5. Reach advanced negotiations
6. One company suddenly cancels the purchase

The seller can experience a significant impact.

Why?

Because B2B generally involves:

- Fewer customers
- Higher purchase values
- Longer negotiations
- Greater preparation
- Greater dependency on individual customers

Therefore:

B2B → Higher jilting impact

24. Complete Revision Table

Factor	B2C	B2B
End customer	Individual	Business
Number of customers	High	Low

Factor	B2C	B2B
Geographic concentration	Lower	Higher
Supply chain	Longer	Shorter
Purchase duration	Shorter	Longer
Purchase value	Generally lower	Very high
Relationship	Transactional	Long-term & collaborative
Price sensitivity	Generally higher	Relatively lower
Advertising	Higher	Lower
Promotions	Higher	Lower
Impulse buying	More common	Generally uncommon
Contracts	Less extensive	More extensive
Decision maker	Individual	DMU
Decision participants	Few	Multiple
Jilting	Lower	Higher

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Factor	B2C	B2B
impact		

Services and Evaluation of Services

1. Products vs Services

Product

A **product** provides economic value in a **tangible** form.

You can generally:

- Touch it
- See it
- Feel it
- Sense it
- Evaluate its physical characteristics

Examples: Mobile phone, watch, pen, laptop.

Service

A **service** provides economic value in an **intangible** form.

There is generally **no ownership of the physical element involved**.

Examples:

- Education
- Transport
- Consultancy
- Hospitality
- Medical services
- Banking

Example:

When you book a flight from Paris to Delhi, you purchase the transportation service, but you

do not own the aircraft or the transportation itself.

2. Types of Services

Services can be broadly classified into **two types**:

A. Pure Services

The primary offering itself is a service.

Examples:

- Education
- Transport
- Consultancy
- Hospitality
- Medical services

B. Add-on Services

A service is added to a physical product.

Example:

You buy a mobile phone → physical product

You purchase an additional service/warranty package →

add-on service

So:

Product + additional service = Add-on service

3. Why Are Services Important?

There are **three major reasons**.

1. Contribution to GDP

Services contribute significantly to the economy.

According to the lecture:

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- Developed economies → approximately **80% of GDP**
- India → approximately **60% of GDP**

GDP (Gross Domestic Product)

is the total value of goods and services produced during a particular period.

2. Employment Generation

The service sector generates a **large amount of employment**.

Examples include:

- Banking
- Education
- IT
- Healthcare
- Transport
- Hospitality
- Consultancy

3. Competitive Advantage

Services can give a company an **advantage over competitors**. Companies have realized that selling products alone may not be sufficient for generating profits. Services can provide additional and recurring sources of revenue.

4. Servitization

Meaning

Servitization means adding services to products to create additional value.

Instead of only selling a product, a company also provides services associated with that product.

Example

A company sells a machine.

Instead of only selling the machine, it may also provide:

- Maintenance
- Servicing
- Technical support
- Monitoring

So:

Product + Services

→ Servitization

The lecture gives the example of **Rolls-Royce**, where services associated with aircraft engines are part of the business model.

5. Characteristics of Services

Services have four important characteristics:

1. Intangible

Services cannot be physically touched or seen like products.

Product: You can physically inspect a watch.

Service: You cannot physically inspect education or consultancy before receiving it.

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Because of this, **evaluating and pricing services can be difficult.**

2. Heterogeneous

Services can vary from one experience to another.

The same service provider may not deliver exactly the same experience every time.

Example:

You have an excellent experience on one flight.

That does **not guarantee** that your next flight experience will be identical.

Therefore:

Services are heterogeneous because service experiences can vary.

3. Inseparable

Production and consumption of a service often happen **simultaneously.**

For example:

Flight service:

Pay/book → travel → consume the transportation service.

Another example is education: Teacher provides the teaching → student consumes the teaching.

This simultaneous nature makes services **inseparable.**

4. Perishable

Services generally **cannot be stored or inventoried** for later use.

Example:

If you miss a particular flight, that unused flight service cannot simply be stored and used later.

Therefore:

Services are perishable, whereas physical products can generally be inventoried.

6. Why Is Service Pricing Difficult?

Products are easier to evaluate because they are tangible.

For example, if you buy a watch, you can:

- Look at it
- Touch it
- Compare its features
- Compare its physical quality
- Compare prices

Services are different because their actual value is often difficult to observe before consumption.

Example

Suppose a bicycle shop offers:

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Service	Price
Normal service	₹500
Advanced service	₹1,000
Premium service	₹2,000

The customer may wonder:

"Is the ₹2,000 service actually worth it?"

The difficulty arises because much of the service work is **not directly observable**.

Therefore:

Intangibility → Difficult evaluation → Greater uncertainty about price and quality

7. Service Quality

Products are generally evaluated using **product quality**.

Services are evaluated using **service quality**.

One well-known framework mentioned in the lecture is **SERVQUAL**.

It identifies five dimensions of service quality:

R — Reliability

Ability to provide the promised service consistently.

R — Responsiveness

Willingness and ability to respond to customers.

A — Assurance

Ability to create confidence and trust.

E — Empathy

Understanding and caring about customers.

T — Tangibles

Physical aspects associated with the service.

Remember:

**SERVQUAL =
Reliability +
Responsiveness +
Assurance +
Empathy + Tangibles**

8. Perceived Risk in Services

Because services are intangible, customers often face **higher perceived risk**.

The customer may wonder:

- Is the service actually good?
- Is the price reasonable?
- Will I get what I expect?
- Did I choose the right provider?
- Is the quality worth the money?

Therefore:

**Intangibility →
Difficult evaluation
→ Higher perceived risk**

This is an important relationship.

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9. Search, Experience and Credence Attributes

Services differ in **how easily customers can evaluate them**.

There are three important concepts:

1. Search Attributes

Things that can be evaluated **before purchasing**.

Products are often rich in search attributes.

For example, before buying a phone, you can search:

- Price
- Specifications
- Size
- Camera
- RAM
- Reviews

You can make a relatively informed decision before purchasing.

2. Experience Attributes

These can be evaluated **after experiencing the service**.

Example: Flight

You book and take a flight.

After experiencing it, you can judge things such as:

- Was the service good?
- Was the experience comfortable?
- Was the staff helpful?

Another example:

You attend a class → experience it → decide whether you found it useful.

So:

**Experience attribute
= You can evaluate
the service after
experiencing it.**

3. Credence Attributes

These are much more difficult to evaluate, **even after consuming the service**.

The customer may not have enough expertise to determine whether the service was actually good.

Examples:

- Complex medical treatment
- Complex surgery
- Dental treatment
- Legal services
- Insurance

For example, after a complex medical treatment, a patient may not be able to independently determine whether the treatment was the best possible treatment.

So:

**Credence attribute =
Difficult to judge
even after**

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experiencing the service.

10. Experience vs Credence

Feature	Experience	Credence
Evaluation	After experiencing service	Difficult even after service
Customer can judge quality?	Generally yes	Often difficult
Example	Flight	Complex medical treatment
Another example	Restaurant	Legal service
Uncertainty	Lower	Higher

Easy way to remember:

Experience → "I experienced it, so I can judge it."

Credence → "I experienced it, but I still cannot properly judge it."

11. Segmentation, Targeting and Positioning

The lecture also connects service offerings with **STP**.

Segmentation

Divide customers into groups having **similar needs and wants**.

Example:

A college surveys 10,000 students about their food preferences.

Suppose three different groups emerge:

- Group 1 → Traditional food
- Group 2 → Fast food
- Group 3 → Healthy food

These groups are **segments**.

Segment = Group of customers with similar needs and wants.

Targeting

After identifying segments, the organization chooses **which segment to focus on**.

For example, if the healthy-food segment has the largest number of students, the college may decide to target that segment.

Targeting = Selecting the segment to serve.

Positioning

Positioning means creating a particular perception of the product/service **in the customer's mind**.

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For example:

"Nutritious, good-quality food at an affordable price."

This communicates how the service should be perceived.

Positioning = How you want customers to perceive your offering.

Organizational Buying Behavior

1. Meaning

Organizational Buying Behavior refers to **how B2B firms make purchasing decisions**.

B2B purchases are generally more complex than B2C purchases because:

- Purchase value is high.
- Fewer customers are involved.
- Multiple people participate in decision-making.
- Purchase decisions take longer.
- Formal evaluation and contracts are common.

2. B2C vs B2B Buying

B2C	B2B
Usually simpler	More complex

B2C	B2B
Lower purchase value	High purchase value
Decision often made by an individual	Multiple people involved
Impulse buying can occur	Impulse buying generally does not occur
Shorter decision time	Decision can take months
Less formal process	Formal purchasing process
Fewer agreements/contracts	More agreements/contracts

Impulse Buying

A purchase made **without prior planning**.

Example: Seeing a T-shirt in a mall and suddenly deciding to buy it.

B2B purchases generally do not involve impulse buying because the purchase value is very high.

3. Eight Steps of B2B Buying Flow

Problem Recognition



General Description of Needs



Product Specifications

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Supplier Search



Analysis & Acquisition of Proposals



Supplier Selection



Selection of Order Routine



Post-Usage Performance Review

Step 1: Problem Recognition

The organization identifies a **problem or need** that requires a solution.

Example:

Engineers in a company complain that their laptops:

- Are slow
- Have poor battery life

This creates the need for new laptops.

Key point: B2B purchasing begins when a **problem or need** is recognized.

Step 2: General Description of Needs

The organization clearly describes **what it needs** based on the identified problem.

Example:

Problem: Slow laptops + poor battery life



Need: Faster laptops with better battery life.

So:

Problem → General Description of Need

Step 3: Product Specifications

The organization converts its needs into **specific technical/product requirements**.

Example:

- Processor: high-performance
- Screen: 13 inches
- Battery: 9+ hours
- RAM: 16 GB or above
- Portable design

Important relationship:

Problem → Need → Specifications

Each step should be consistent with the previous one.

RFI — Request for Information

When the organization is unsure about the appropriate specifications, it may use an **RFI (Request for Information)** to obtain information before finalizing requirements.

Step 4: Supplier Search

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The organization searches the market for **potential suppliers**.

Example:

Suppose 15 laptop suppliers are identified.

The organization may shortlist a smaller number based on:

- Market reputation
- Ratings
- Reviews
- Brand image
- Other relevant criteria

Example:

15 suppliers → 4 shortlisted suppliers

Step 5: Analysis & Acquisition of Proposals

The shortlisted suppliers are asked to submit their **quotes/proposals**.

RFQ

Request for Quotation —

suppliers provide pricing and other details according to the required specifications.

The organization's **Decision-Making Unit (DMU)** evaluates the proposals.

Different departments may participate, such as:

- Finance
- Engineering
- Operations
- HR

6. Supplier Selection

The organization does **not necessarily select the cheapest supplier**.

B2B purchasing decisions are based on **CSFs/KSFs**:

- **CSF = Critical Success Factors**
- **KSF = Key Success Factors**

These are the criteria considered important by the organization.

Possible factors

- Price
- Brand image
- Service quality
- Product quality
- Flexibility

Different organizations can assign **different factors and weightages**.

7. Weighted Scoring Method

Each criterion receives a **weightage**, with total weightage = **100%**.

Suppliers are then rated, typically on a **1–5 scale**:

Rating	Meaning
1	Very poor
5	Excellent

Formula

Final Score = Weightage × Rating

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Example:

Factor	Weight	HP Rating	Score
Price	10%	5	0.5
Brand Image	20%	4	0.8
Service Quality	30%	3	0.9
Flexibility	10%	5	0.5
Product Quality	30%	5	1.5
Total	100%		4.2

The same calculation is performed for every shortlisted supplier.

Example final scores

- HP → **4.2**
- Lenovo → **4.3**
- Dell → **4.5**
- Apple → **4.1**

Therefore:

Dell is selected, even though it is neither the cheapest nor the most expensive.

Key concept

B2B purchasing is not necessarily driven by price alone.

The final decision depends on the organization's **CSF/KSF and their weightages**.

8. Selection of Order Routine

After selecting the supplier, the organization specifies the **exact order terms and conditions**.

This may include:

- Quantity
- Product variants/colors
- Software requirements
- Delivery details
- Payment terms
- Installments
- Contracts
- Other agreements

Example:

250 laptops

- 100 silver
- 100 black
- 50 rose
- Specific software installation
- 50% payment initially
- 50% through installments

Because B2B purchase values are high, **agreements and contracts are important**.

9. Post-Usage Performance Review

After purchasing and using the product/service, the organization evaluates whether it **solved the original problem**.

If expectations are met:

- Continue the relationship
- Repurchase from the supplier

If expectations are not met:

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→ Supplier may not be chosen again
→ The purchasing process may start again

This step is common to **both B2B and B2C**.

10. Why B2B Buying Is More Complex

Remember these major characteristics:

High purchase value



More people involved



More evaluation



Longer purchase duration



Formal agreements/contracts

The purchase duration can be **several months to around a year**, depending on the purchase.

11. Decision-Making Unit (DMU)

A **DMU** is the group of people involved in making a B2B purchasing decision.

Different people/departments can evaluate the purchase from different perspectives.

For example:

Engineering → Technical suitability

Finance → Cost

Operations → Practical use

Management → Overall business value

12. High "Jilting" Impact in B2B

The source highlights that losing a B2B customer can have a **higher impact** because:

- Number of customers is smaller.
- Purchase values are larger.
- The decision process takes longer.
- Considerable time and resources are spent before the purchase.

Therefore, losing one potential B2B customer can mean losing a significant business opportunity.

B2B Buying Situations

1. Organizational Buying Behavior

B2B purchases do **not always require all 8 steps** of the organizational buying process. The process depends on the **type of buying situation**.

There are **3 B2B buying situations**:

1. **Straight Rebuy**
2. **Modified Rebuy**
3. **New Task**

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2. Straight Rebuy

Meaning

A **straight rebuy** occurs when an organization repeatedly purchases a product with **little or no change**.

Usually applies to products that are:

- **Inexpensive**, and/or
- **Bought frequently**

Process

The organization **does not need to go through all 8 steps**.

Typically, it can directly:

- Select/order the product
- Complete the order routine
- Review performance

Examples

- Office pens
- Stationery
- Regular consumables
- Reordering laptops from the same supplier without changes

Key Point

**Inexpensive/frequently purchased →
Straight Rebuy →
Short process**

3. New Task

Meaning

A **new task situation** occurs when an organization purchases

an **expensive product for the first time** or makes a completely new purchase.

Process

Generally, **all 8 steps** of organizational buying are followed:

**Problem Recognition →
General Description of Need →
Product Specifications →
Supplier Search → Analysis &
Acquisition of Proposals →
Supplier Selection → Order
Routine → Post-Usage
Performance Review**

Examples

- Buying 250 laptops as a new purchase
- Purchasing photocopying machines for the first time
- Buying a new type of expensive equipment

Key Point

**Expensive + first-time purchase →
New Task → Full 8-step process**

4. Modified Rebuy

Meaning

A **modified rebuy** occurs when an organization already purchases a product but wants **some modifications or changes**.

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The existing supplier may be able to make the modifications, so a new supplier is **not necessarily required**.

Examples

- Adding new software to existing laptops
- Changing product specifications
- Adding a customized logo/design
- Modifying an existing product

Process

Whether all 8 steps are followed **depends mainly on the cost and extent of the modification**.

- **Low-cost modification** → fewer steps may be sufficient
- **High-cost modification** → more detailed evaluation and potentially all 8 steps

Key Point

Existing purchase + modification →
Modified Rebuy →
Process depends on modification cost

5. Simple Comparison

Buying Situation	Main Condition	Process
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Buying Situation	Main Condition	Process
Straight Rebuy	Inexpensive and/or frequently purchased	Short process; not all 8 steps
Modified Rebuy	Existing product with modifications	Depends on modification/cost
New Task	Expensive + first-time/new purchase	Generally all 8 steps

6. Example: T-Shirts/Hoodies

Suppose an organization needs **10,000 T-shirts**.

New Task

Buying **10,000 T-shirts for the first time**.

→ Expensive/large purchase + new requirement

→ **New Task**

Straight Rebuy

Later, ordering **200 more identical T-shirts** from the same supplier.

→ Repeated purchase without major changes

→ **Straight Rebuy**

Modified Rebuy

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The organization wants:

- IIT Madras logo
- Individual names
- Additional customization

→ Existing product + modifications

→ **Modified Rebuy**

If the customization cost is significant, a more detailed buying process may be required.

- High purchase value
- Longer purchase duration
- Greater risk
- Multiple departments
- Significant consequences if the wrong supplier/product is selected

Therefore, the decision is usually **collective rather than individual**.

Decision Making Unit (DMU)

/ Buying Center

1. Meaning of DMU

Decision Making Unit (DMU) is the group of people involved in making a **B2B purchase decision**. It is also called:

- **Buying Center**
- **Buying and Usage Center (BU)**

Unlike B2C, where usually an individual makes the purchase decision, B2B decisions involve **multiple people** because the purchase value and consequences are usually much higher.

A DMU may contain approximately **5–15 people**, depending on the size of the organization.

2. Why is a DMU Needed?

B2B purchases generally involve:

3. Main Roles in a DMU

The major roles are:

Gatekeeper → User → Initiator → Influencer → Decision Maker

People from departments such as **Finance, HR, Operations and Quality** may also participate.

One person can perform multiple roles, especially in smaller organizations.

4. Gatekeeper

Meaning

A **gatekeeper controls access to the DMU or filters suppliers/options** before they reach the decision-making process.

Examples

Finance:

- Budget limit = ₹70,000

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- Suppliers above ₹70,000 are eliminated.

Quality:

- Only suppliers meeting required quality standards are considered.

Security:

- Controls physical access to the organization.

Key Point

Gatekeeper = Filters who/what gets through to the decision process.

5. Users

Meaning

Users are the people who actually use the product or service.

They are often the first people to:

- Identify problems
- Identify needs
- Specify requirements

Example

Company engineers use laptops.
If the laptops are:

- Slow
- Have poor battery life

→ Engineers identify the problem and communicate the requirement.

Key Point

User = Actually uses the product/service and often identifies the problem.

6. Initiators

Meaning

Initiators start or move the purchasing process forward after a problem or need is identified.

Example

Engineers identify that laptops are inadequate.

They communicate the problem to:

- Supervisor/Manager
- Purchase Department

The manager or purchase department can then initiate the buying process.

Key Point

Initiator = Starts the purchasing process after a need/problem is identified.

7. Influencers

Meaning

Influencers evaluate alternatives and influence the final purchase decision.

They may include:

- Department heads

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- Directors
- Vice Presidents
- Finance representatives
- Operations representatives
- Quality representatives

They may evaluate suppliers based on factors such as:

- Price
- Product quality
- Service quality
- Brand image
- Other company-specific criteria

Key Point

Influencer = Provides expertise, evaluation and recommendations that affect the decision.

8. Decision Maker

Meaning

The **decision maker** has the **final authority** to approve the purchase.

Depending on the organization, this could be:

- CEO
- Chief Purchase Officer
- Senior executive
- Authorized committee

The decision maker may make the final decision, but generally

relies on the **analysis and recommendations of other DMU members.**

Key Point

Decision Maker = Final purchasing authority.

9. DMU Flow

A simplified B2B buying process can be understood as:

Users



Identify problem/need



Initiators



Start the purchasing process



Gatekeepers



Filter suppliers/options



Influencers



Evaluate and recommend



Decision Maker



Final Purchase Decision

10. B2C vs B2B Decision Making

Factor	B2C	B2B
End custo	Individ ual	Business/organi zation

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Factor	B2C	B2B
mer		
Decision maker	Usually individual	DMU/group
Purchase value	Usually lower	Often much higher
Purchase duration	Usually shorter	Can be months to a year
People involved	Few	Multiple departments/roles
Decision processes	Relatively simple	More complex
Risk of wrong decision	Usually limited	Can affect the organization and downstream customers

11. Negative Inheritance / Domino Effect

In B2B, a wrong supplier decision can have a **spillover effect**.

For example:

Wrong supplier selected

↓

Business receives poor

product/service

↓

Business's own operations are affected

↓

Business's customers may also be affected

This is referred to in the passage as a **negative**

inheritance/domino effect, also described as a **spillover**.

B2C

A defective phone mainly affects the individual buyer.

B2B

A wrong purchase decision can affect:

Business →

Employees/Operations →

Business Customers →

Downstream network

B2B Professional Selling

This lecture introduces **sales techniques** before moving into the **7 steps of B2B professional selling**.

1. Basic Selling Structure

To sell, we need **two entities**:

Seller → Buyer

- **Seller / Supplier →** sells products
- **Service Provider →** provides services

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- **Buyer / Customer** → buys products
- **Client** → receives/buys services

The seller provides an **offering** to the buyer and aims to make a **profit**.

2. What are Sales Techniques?

Definition

Sales techniques are the various methods used by salespeople/sales organizations to convince or persuade customers to buy.

These techniques can be used in both **B2B and B2C**, although some are more prominent in one than the other.

3. Types of Sales Techniques

The lecture discusses the following:

1. **Direct Selling**
2. **Indirect Selling**
3. **Wholesaling**
4. **Retail Selling**
5. **Online Selling**
6. **Door-to-Door Selling**

3.1 Direct Selling

Meaning

The **seller directly sells to the buyer** without an intermediary.

Structure

Seller → Buyer

Example:

Company → Business Customer

Why is it prominent in B2B?

B2B generally has:

- Fewer customers
- More geographically concentrated customers
- A shorter supply chain

Therefore, companies can directly approach their customers.

Example

Airbus → Airline

Airbus has relatively few customers compared with a typical B2C company, so direct selling is practical.

Important: Direct selling can also exist in B2C.

4. Indirect Selling

Meaning

The seller and buyer are connected through an **intermediary or agent**.

Structure

Seller → Intermediary/Agent → Buyer

The seller does not directly sell to the final customer.

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Examples

Manufacturer → Distributor → Customer

or

Seller → Amazon → Customer

The lecture also mentions the example of **Caterpillar**, where distributors can exist between the manufacturer and customers.

Applicable to:

- B2B
- B2C

5. Wholesaling

Meaning

Wholesaling involves selling products in **large quantities**, typically between businesses.

Therefore:

Wholesaling is typically B2B.

Why?

Because the wholesaler is itself a **business**.

Typical Supply Chain

A typical structure is:

Manufacturer → Distributor →

Wholesaler → Retailer →

Customer

However, a distributor may not always be present:

Manufacturer → Wholesaler →

Retailer → Customer

6. Example of Wholesaling

Suppose a company manufactures water bottles.

Step 1 — Manufacturer

Suppose:

- Manufacturing cost/selling price = ₹10 per bottle
- Production = approximately 2 lakh bottles/day

The manufacturer sells large quantities to distributors.

Step 2 — Distributor

Suppose there are 3 distributors.

Each buys approximately:

65,000 bottles

So:

$65,000 \times 3 \approx 1.95$ lakh bottles

The distributor may sell them onward at approximately:

₹12/bottle

Step 3 — Wholesaler

Wholesalers purchase smaller quantities than distributors.

Suppose:

- 10–11 wholesalers
- Each purchases around 6,000 bottles

The wholesaler may sell at:

₹14/bottle

Step 4 — Retailer

Business Data Management (Part 2)

Retailers buy smaller quantities from wholesalers.

Suppose the retailer buys at:
₹16/bottle

Step 5 — Customer

The final customer purchases the bottle for:

₹20

So the simplified chain becomes:

Manufacturer ₹10 →

Distributor ₹12 → Wholesaler

₹14 → Retailer ₹16 →

Customer ₹20

Important point

The manufacturer does **not** necessarily make ₹10 profit just because the customer pays ₹20.

Each stage has:

- Costs
- Margins
- Inventory expenses
- Operating expenses

For retailers especially, costs can include:

- Rent
- Salaries
- Store space
- Other operating expenses

Therefore, the final selling price is higher.

7. Volume Relationship

Generally, as we move toward the final customer, the quantity purchased becomes smaller.

Simplified relationship:

Manufacturer volume ≥

Distributor volume >

Wholesaler volume > Retailer

volume > Customer volume

Why?

A distributor stocks much more than an individual wholesaler, while a customer normally purchases only a small quantity.

8. Retail Selling

Retail selling occurs when products are sold to the **final customers through retail outlets**.

Examples mentioned:

- Reliance Fresh
- Spencer's
- Kirana stores
- Other retail outlets

Structure

Wholesaler → Retailer →

Customer

Retail selling is therefore generally associated with the final stage before the customer.

9. Online Selling

Meaning

Selling is conducted **online through the Internet**.

Business Data Management (Part 2)

Examples:

- Amazon
- Flipkart
- e-commerce platforms

The important characteristic is that the buying/selling interaction takes place through an **online medium**.

10. Door-to-Door Selling

Meaning

A salesperson physically goes to customers' homes/businesses and attempts to sell products.

Example from the lecture

People carrying products such as:

- Vegetables
- Snacks
- Other goods

and visiting homes to sell them.

Current relevance

The lecture notes that this is now **rare/mostly obsolete in cities**, although it can still occur in villages.

11. Choosing a Sales Technique

Does a company have to use **all** these selling techniques?

No.

The lecture's key principle is:

The objective is to sell at a profit.

Therefore, the company should evaluate which channels are profitable.

If several channels generate profit, the company can use multiple channels.

If a particular channel is not profitable, the company can reconsider whether to use it.

12. Marketplace vs Marketspace

This is an important distinction.

Marketplace

A **marketplace** is a:

Physical place/location where buyers and sellers meet and negotiations happen.

Examples

- Retail stores
- Kirana stores
- Sabzi Mandi

Easy memory:

Marketplace = Physical

13. Marketspace

A **marketspace** is a:

Virtual space where buyers and sellers are connected through technology.

Examples

- Amazon

Business Data Management (Part 2)

- eBay
- Flipkart

Easy memory:

Marketspace = Virtual/Online

Marketplace vs Marketspace

Marketplace	Marketspace
Physical	Virtual
Buyers and sellers meet physically	Buyers and sellers connect through technology
Retail store	Amazon
Kirana store	Flipkart
Sabzi Mandi	eBay

Memory trick:

PLACE → Marketplace

SPACE → Marketspace

Financial/Cost Vocabulary

Word	Simple meaning
Cost	Money spent to produce/operate/sell something
Revenue	Money received from selling products/services
Profit	Revenue minus costs
Margin	Amount left between selling price and relevant purchase/cost price
Fixed cost	Cost that doesn't

Word	Simple meaning
	change much with the quantity sold in the short run
Variable cost	Cost that changes with the quantity produced/sold
Inventory cost	Cost associated with holding/storing stock
Operating cost	Cost of running a business
Rent	Money paid to use a property/store/office
Salary	Regular payment made to employees
Budget	Planned amount of money available to spend
Budget constraint	Limit on how much can be spent
Feasible	Possible or practical under the given conditions

Supply Chain Terms

The lecture's example can be represented as:

Manufacturer → Distributor → Wholesaler → Retailer → Customer

Now understand each one:

Manufacturer

Makes the product.

Business Data Management (Part 2)

Example:

Company produces 2
lakh bottles.

Distributor

Buys/distributes very large quantities.

Wholesaler

Buys large quantities from distributors/manufacturers and sells them in smaller bulk quantities.

Retailer

Buys from wholesalers and sells to individual customers.

Customer

Final buyer.

B2B Selling Vocabulary

Word	Simple meaning
Professional selling	Organized selling carried out by trained salespeople/businesses
Sales technique	Method used to persuade a customer to buy
Salesperson	Person whose job is to sell products/services
Sales force	Group of salespeople working for a company
Persuade	Try to convince

Word	Simple meaning
	someone to do something
Convince	Make someone believe that something is suitable/correct
Intermediary	Middle person/business between seller and buyer
Agent	Person/business that acts on behalf of another party
Channel	Path through which a product reaches the customer
Supply chain	Network/process through which a product moves from producer to final customer
Distribution	Movement of products from producer toward customers
Distributor	Business that buys large quantities and distributes them further
Wholesaler	Business that buys goods in relatively large quantities and

Business Data Management (Part 2)

Word	Simple meaning
	sells them to retailers/other businesses
Retailer	Business that sells products to final consumers
Manufacturer	Company that makes products
Producer	Person/company that produces goods
Retail outlet	Physical store where products are sold to consumers
Margin	Difference between buying/selling price that contributes toward profit/costs
Inventory	Stock of goods held by a business
Stocking	Keeping products in inventory
Volume	Quantity of goods involved in a transaction
Intermediary	Middle party connecting seller and buyer

Types of Selling

Term	Meaning
Direct selling	Seller directly

Term	Meaning
	sells to buyer
Indirect selling	Intermediary exists between seller and buyer
Wholesaling	Selling goods in large quantities, generally B2B
Retail selling	Selling goods to final consumers through retail outlets
Online selling	Selling through Internet-based platforms
Door-to-door selling	Salesperson directly visits customers to sell product

Easy distinction for

Organization Buying Behaviour

Straight re-buy → "Give me the same thing again."

Modified rebuy → "Give me the same thing, but change something."

New task → "We need this for the first time."